

Update on Devolution

As of August 2026, the position has changed significantly. The English Devolution and Community Empowerment Act 2026 has now created a statutory framework for Strategic Authorities, with Mayoral Combined Authorities (MCAs) becoming Mayoral Strategic Authorities (MSAs).

Overview: new powers for Mayoral Combined Authorities

The key change is a move away from individually negotiated devolution deals towards a standardised Devolution Framework, with progressively greater powers depending on whether an authority is Foundation, Mayoral or Established Mayoral.

Area	New / enhanced powers
Economic growth	Statutory responsibility for regional growth; Local Growth Plans; ability to coordinate investment and economic development
Transport	Greater control over local transport; Key Route Networks; Mayoral power of direction over constituent councils on those networks; traffic-reduction targets Buses Faster and simpler bus franchising and greater control over bus services Rail Statutory role in governing, managing, planning and developing local/regional rail; Established Mayors can request further rail devolution
Housing	Greater control over housing and regeneration funding; stronger strategic relationship with Homes England
Planning	Strategic planning responsibilities; Mayoral Development Orders; intervention in strategically important planning applications; Mayoral Community Infrastructure Levy

Skills & employment	Greater strategic control over skills and employment support, including devolved funding and greater flexibility over programmes
Environment / net zero	Functions relating to environment, climate and net zero
Health	Formal duty to consider health improvement and health inequalities and stronger involvement in public-service reform
Public safety	Potential transfer of police/fire functions and wider public-safety responsibilities, depending on the authority
Finance	Greater flexibility through Integrated Settlements, particularly for Established Mayoral Strategic Authorities
Governance	Standardised simple-majority decision making in most cases, including the Mayor's vote
Leadership	Mayors can appoint and remunerate Commissioners across the seven areas of competence
Convening power	Mayors can formally convene local partners, with a corresponding duty on partners to respond
Further devolution	Established Mayoral authorities have a "right to request" additional powers, funding and partnerships from government

The seven statutory areas of competence are transport and infrastructure; skills and employment; housing and strategic planning; economic development and regeneration; environment and net zero; health, wellbeing and public-service reform; and public safety.

Skills and employment

For the employability and skills sector, this is potentially one of the most significant changes.

Mayoral Strategic Authorities are intended to become the strategic labour-market and skills leaders for their areas, with greater ability to align:

- Adult Skills Fund
- Skills Bootcamps
- Employment support
- Local labour-market intelligence
- Employer engagement
- Economic development
- Careers and skills provision
- Disadvantaged-group provision
- Local growth priorities

The Government has also moved towards removing some of the previous ring-fencing around skills funding, giving Mayors greater flexibility to determine local priorities.

Strategically, this means the MCA/Mayor becomes less of a funding administrator and more of a commissioning and system-leadership body.

That has potentially major implications for organisations delivering employability, youth employment, NEET, disability employment, skills and workforce programmes.

Integrated Settlements

This is arguably one of the biggest financial changes.

Established Mayoral Strategic Authorities can receive a single, consolidated funding settlement, rather than having to manage numerous separate government funding pots with individual conditions.

Please see [Resource Library - Compass Consult](#) for full information on Integrated Settlements

Planning and housing

Mayors now have a considerably stronger strategic role in housing and spatial development.

New powers include:

- ✓ Intervention in strategically important planning applications
- ✓ Mayoral Development Orders
- ✓ Mayoral Community Infrastructure Levy
- ✓ Stronger strategic planning
- ✓ Control of housing/regeneration funding
- ✓ Closer strategic relationships with Homes England
- ✓ Continued use of Mayoral Development Corporations and compulsory purchase powers

This is important because housing, transport, skills and economic development can increasingly be planned as one regional economic strategy.

Transport

The transport settlement is also being strengthened.

Mayors will have responsibility for establishing a Key Route Network and will have a Power of Direction over constituent councils' highway and traffic functions on that network.

They will also be able to set Traffic Reduction Targets and have enhanced powers around bus franchising and other transport measures.

For Established Mayoral authorities, the Government is also creating a much stronger role in regional rail.

The Mayor's new "soft powers" become harder powers

One particularly interesting change is the statutory Mayoral Powers of Competence.

This includes General Power of Competence + power to convene + duty to respond + duty to collaborate.

In practical terms, this strengthens the Mayor's ability to bring councils, employers, universities, NHS bodies, police, housing providers and other partners around the table and require a formal response to requests for collaboration.

That could be particularly important for whole-place employability and skills strategies.

There are effectively three levels of devolution:

Foundation → Mayoral → Established Mayoral

The Established Mayoral level gets the broadest package of powers and funding, including Integrated Settlements and a formal right to request further powers from central government.

So the strategic question for an MCA is no longer simply "What powers have we been given?" It increasingly becomes "What additional powers and funding can we demonstrate that we are capable of taking on?"

That makes delivery track record, governance, financial management and evidence of impact increasingly important.